



# Vendor Performance Analysis Report

Comprehensive analysis of vendor sales, profitability, and inventory performance

# Business Problem



## Underperforming Brands

Identify brands requiring promotional or pricing adjustments



## Vendor Dependency

Assess top vendors contributing to sales and gross profit



## Inventory Turnover

Reduce holding costs and improve efficiency





# Data Overview

## Dataset Characteristics

- 10,692 observations
- 16 financial and operational variables
- Skewed distributions with outliers
- Extreme values in ProfitMargin

## Key Variables

- PurchasePrice, ActualPrice
- TotalPurchase/SalesDollars
- GrossProfit, ProfitMargin
- StockTurnover ratios

# Descriptive Statistics

\$24

Average Purchase Price

Lower than selling price

\$35

Average Selling Price

Positive pricing margin

1.7

Stock Turnover

Moderate inventory movement

2.5

Sales-to-Purchase Ratio

Sales double purchase quantities

High variability indicates uneven vendor performance with high-volume contributors

# Correlation Analysis

1

## Purchase & Actual Price

0.99 correlation: consistent pricing strategies

2

## Sales & Purchases

0.96 correlation: volume-driven performance

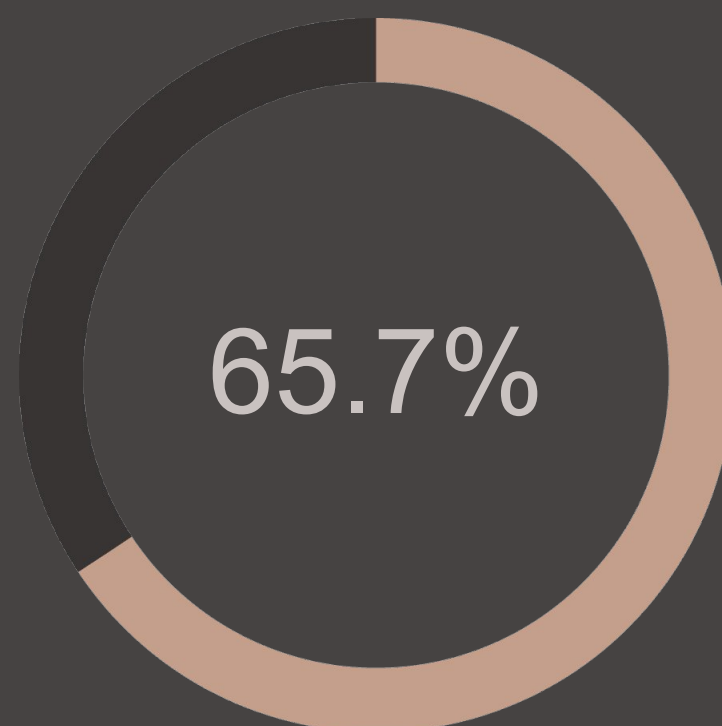
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## Gross Profit

0.98 correlation: direct profitability driver

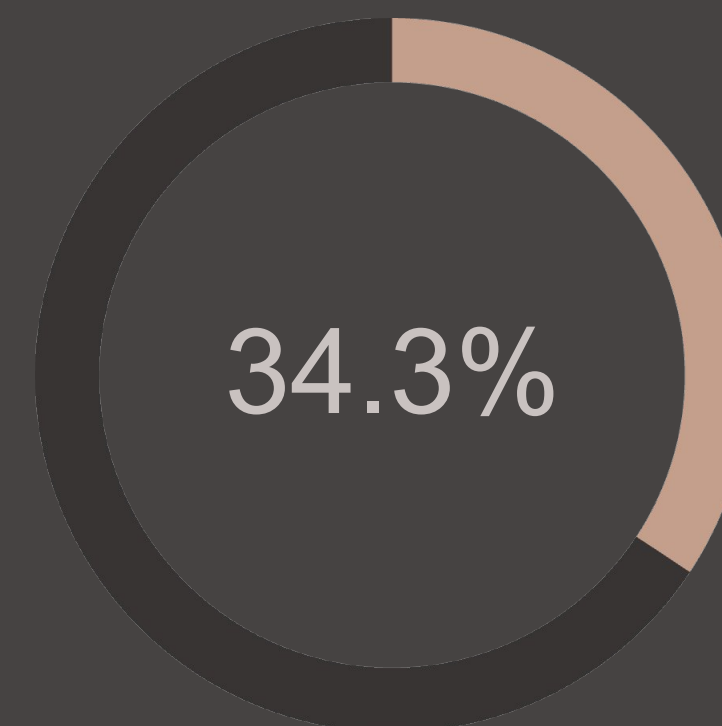


# Top Vendor Contribution



Top 10 Vendors

Contribution to total purchases



Other Vendors

Remaining vendor base

Significant concentration among limited vendors indicates dependency risk

# Performance Comparison

## Top Vendors

- Lower profit margin: ~31%
- Tight confidence interval
- Stable but lower margins
- Volume-driven strategies

## Low Vendors

- Higher profit margin: ~41%
- Greater variability
- Untapped potential
- Requires optimization



# Dashboard Overview

\$441M

Total Sales

\$307M

Total Purchases

\$134M

Gross Profit

38.7%

Profit Margin

Strong overall performance with healthy profit margin and controlled inventory





# Key Insights

## Volume-Driven Vendors

Diageo, Martignetti, Pernod Ricard drive majority of revenue through high sales volume

## Brand Dominance

Jack Daniels, Tito's, Grey Goose directly influence sales growth through strong market presence

## Performance Gap

Dunn Wine, Circa Wines, Park Street require improvement strategies or reevaluation



# Strategic Recommendations

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## Optimize High-Margin Brands

Boost visibility and sales of high-margin, low-sales brands

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## Diversify Vendor Base

Reduce dependency on top 10 vendors

03

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## Improve Low Performers

Implement promotional and pricing adjustments

04

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## Balance Strategy

Combine high-volume vendors with high-margin brands